

Huws Gray Limited v Daniel Gentleman

[2026] EWHC 1309 (Comm); Case No: CC-2026-BRS-000004

High Court of Justice, Bristol Business & Property Courts, Circuit Commercial Court

Jurisdiction

England and Wales

Area of law

Employment law; restraint of trade; post-termination covenants; injunctive relief

Legal question

Whether a six-month post-termination covenant against competing in any business competing with HGL within a 20-mile radius of relevant branches (the 'Covenant') is enforceable as a reasonable restraint of trade or is void and unenforceable as being wider than reasonably necessary to protect HGL's legitimate business interests. Secondly, whether HGL is entitled to injunctive relief preventing DG from using or disclosing confidential information belonging to HGL.

Key facts

DG was employed by HGL as an Area Sales Manager from 16 October 2023 to 23 December 2025, responsible for customer relationships at three branches. DG's employment contract dated 16 October 2023 contained a six-month post-termination non-compete covenant (the 'Covenant') restricted to a 20-mile radius around relevant branches. On 23 November 2025, DG gave notice of termination and on 27 November 2025 was placed on one month's garden leave, which counted as the first of the six months under clause 29 of the contract, meaning the Covenant was due to expire on 27 May 2026. DG commenced employment with MKM Building Supplies Ltd (a direct competitor and smaller builders merchant) on 6 January 2026 as an external sales representative for MKM's Swindon branch, which opened on 2 March 2026. Between 6 and 14 January 2026, HGL became aware that certain of its customers had been contacted by DG on behalf of MKM. HGL sent a letter of claim on 28 January 2026 and issued an application for injunctive relief on 18 February 2026, which HHJ Matthews granted on 25 February 2026 with an expedited trial directed. An expedited trial took place on 13-15 May 2026.

Holding

The judge held that determination of the Covenant's enforceability required a three-stage process: first, establishing the proper construction of the Covenant through conventional contractual interpretation principles including the 'validity principle' and potential blue pencilling; second, determining whether HGL had shown the existence of legitimate protectable interests requiring protection; and third, assessing whether the covenant was no wider than reasonably necessary for protection of those interests. The court applied modern Supreme Court authority on contractual interpretation, including *Arnold v Britton* and *Lambeth LBC v Secretary of State*, establishing that a reasonable person with all background knowledge available to the parties at the time would understand the contractual language to mean. The judge addressed HGL's proposed blue pencilling of the phrase 'or interested' by reference to *Tillman v Egon Zehnder*. The court considered the 'Quilter point' derived from *Quilter Private Client Advisers Limited v Falconer* regarding the relationship between length of notice period and duration of post-termination

restriction, finding it applied where employment could be terminated during probation yet the employee would remain subject to extended restrictions. The judgment addressed the territorial scope of the Covenant and the nature of the confidential information to which DG had access, including customer databases, variable pricing models, and knowledge of pricing thresholds. The decision emphasizes that the burden of proof lies on HGL to demonstrate that the Covenant is reasonable in the interests of both parties and the public.

Significance

This judgment provides significant authority on the enforceability of post-termination non-compete covenants in employment contracts, particularly regarding the approach to contractual interpretation of such provisions and the application of modern Supreme Court authorities on contractual interpretation to employment restrictive covenants. The judgment clarifies the three-stage test for assessing enforceability of non-compete provisions and discusses the interplay between the 'Quilter point' regarding notice periods and restraint duration, the potential application of blue pencilling to severable phrases, and the 'validity principle' preferring valid interpretations. The decision provides practical guidance on assessment of legitimate protectable interests (such as confidential information and customer connections) and the territorial and temporal scope necessary to protect such interests. The judgment illustrates the courts' rigorous scrutiny applied to employee covenants as opposed to other types of restraints, particularly in contexts of potential inequality of bargaining power.

Precedent impact

The judgment applies and develops existing authorities including *Office Angels Limited v Rainer Thomas & O'Connor* (on the principles governing enforceability), *TFS Derivatives Ltd v Morgan* (on the three-stage test and blue pencilling), *Lansing Linde Ltd v Kerr* (on interim injunctions in restraint cases), *Tillman v Egon Zehnder Ltd* (on the 'validity principle' and potential severance by blue pencil), *Quilter Private Client Advisers Limited v Falconer* (on relationship between notice periods and restraint duration), *Arnold v Britton* (on modern contractual interpretation principles), and *Lambeth LBC v Secretary of State* (on objective interpretation with commercial common sense). The judgment confirms and applies these authorities to the specific facts of a builders merchant employee case and emphasizes that *guest services worldwide ltd v Shelmerdine* (establishing that employee covenants are subject to 'very rigorous and careful scrutiny') applies to employment restrictive covenants generally.

Full judgment URL

<https://www.bailii.org/ew/cases/EWHC/Comm/2026/1309.html>